

0.8%. Bond fund fees declined from 0.9% to 0.6%. Fees have been falling thanks to the rise of low-cost index funds, the shift to no-load funds, and the rise of ETFs (which we discuss below).

Hidden Fees

Despite the disclosure requirements in the 40-Act, several important costs are hidden from investors:

Trading costs are not reported by funds, nor are they included in the fund's expense ratio. Yet higher trading costs reduce returns for investors. Trading costs encompass:

1. Commissions

Brokerage costs of buying and selling securities must be disclosed but not in the fund's prospectus.

2. Bid-ask spreads

These are the differences between the lowest price posted by a seller and the highest price posted by a buyer.

3. Market-impact costs

Large trades will move prices. These costs, though hidden, can exceed commissions or bid-ask spreads.

Trading costs are large. Edelen, Evans, and Kadlec (2007) estimate that trading costs are around 1.4%—exceeding even the expense ratios of active funds. Trading costs are proportional to turnover; the more you trade, the higher the transactions costs. Carhart (1997) and others following him show that the higher turnover is, the lower the fund performance. (Yet another reason to go index.)

In 2012, the turnover of Janus Worldwide was 49% versus 67% in Janus Global Research. Janus Worldwide disappeared in the merger, so its shareholders now pay the higher trading fees of Janus Global Research. Its turnover is less than the average of 80% to 90% for active equity funds. But the turnover for an index fund is usually below 5%.

Soft dollar costs are unseen by fund investors. In soft dollar arrangements, the fund directs its trades to a select few brokers who provide “free” services, research, or products so that the fund needn't buy these things separately. The problem with soft dollars is that firms can hide their true expenses. Instead of running some services through management fees, which are disclosed, they are run through soft dollar arrangements, which as transactions costs are not disclosed.

Fee Obfuscation

Also hidden are the complicated compensation arrangements brokers, marketing firms, subadvisors, consultants, and other intermediaries have with mutual fund companies: revenue sharing arrangements, rebate-based compensation schemes, and various bundled services.